

equity-model

Shared Profit Model — Draft Default (Pre-CAC)

Locked default: **50% Treasury / 10% Abdullahi Garba / 10% Essien Frances / 7.5% Treasurer / 7.5% Product-Ops Mgr / 5% / 5% / 5% Members.**

All percentages are VARIABLES — tune without rewriting by editing `cap-table-template.csv`.

1. Definitions

- **Gross gains:** prizes, grants, revenue.
- **Costs:** direct competition/build/travel/component costs with receipts.
- **Net distributable base (N):** gross – costs. Treasury takes 50% of N first.
- **Distributable pool (D = 50% of N):** split per table below.

2. Default table (% of N, i.e. of net total)

Beneficiary	% of N	= % of D	Notes
Treasury (retained)	50.0	—	R&D, labs, reserves
Abdullahi Garba	10.0	20%	Co-founder
Essien Frances	10.0	20%	Co-founder
Treasurer [TBD]	7.5	15%	Premium for custody/reporting
Product/Ops Mgr [TBD]	7.5	15%	Premium for delivery
Member C [TBD]	5.0	10%	
Member D [TBD]	5.0	10%	
Member E [TBD]	5.0	10%	

Beneficiary	% of N	= % of D	Notes
Total	100	100% of D = 50% of N	

Example: N = ₦1,000,000 → Treasury ₦500,000; Founders ₦100k each; Treasurer & Prod-Ops ₦75k each; others ₦50k each.

3. Eligibility to receive

Active + NDA + IP assignment signed + no unresolved misconduct + met minimum contribution or approved leave. Joiners/leavers pro-rata by weeks active in the earning period. Unclaimed/forfeited amounts return to treasury.

4. Prize-money rule

NDAIE prizes follow the same split unless the sub-team + both founders agree otherwise in writing before submission.

5. Transparency

Treasurer publishes ledger monthly; any member may audit receipts. Disputes → founders → mediation.

6. Conversion to equity (on CAC Ltd)

Profit %s are a negotiation baseline, not automatic shares. Treasury converts to company funds/unissued shares. Requires shareholders agreement, share allotment, CAC filings, lawyer review.

BOLTE Corporate Documentation — template/draft (requires review where noted)

NASS Rulebook takes precedence for competition matters